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Case Number: 26PSCV00558 Hearing Date: July 7, 2026 Dept: 6

CASE

NAME: Siyu

Wang, aka Selena Wang v. Pengqiang Wang, et al.

Defendant

Pengqiang Wang's Demurrer to Complaint

TENTATIVE

RULING

The Court SUSTAINS Defendant Pengqiang Wang's Demurrer to the Fourteenth Cause of Action of the Complaint with 20 days' leave to amend. The Court SUSTAINS the Demurrer to the Sixth Cause of Action of the Complaint, and will hear from Plaintiff whether facts can be alleged to resolve the defects identified herein. The Court OVERRULES the Demurrer to the Fifth and Eleventh Causes of Action.

Defendant Pengqiang Wang is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a fraud case. On February 17, 2026, plaintiff Siyu Wang, aka Selena Wang (Plaintiff) filed this action against defendants Pengqiang Wang (Pengqiang), [1] Jiali Wei, an individual (Wei), Jiali Wei, Trustee of the CW76 Trust, Dated September 22, 2021 (Trustee), Huimin Wu (Wu), Skyhealth Medical Group USA Inc. (Skyhealth), and Does 1 through 10, alleging causes of action for conversion,

civil theft (Penal Code § 496), intentional misrepresentation (fraud), concealment (fraud), breach of fiduciary duty, accounting, money, money had and received, restitution based on quasi-contract, aiding and abetting, civil conspiracy, constructive fraud, avoidance of transfers under California Uniform Voidable Transaction Act, avoidance of transfers under California common law, breach of contract, and declaratory relief.

On April 22, 2026, Pengqiang demurred to the Complaint. On June 23, 2026, Plaintiff opposed the Demurrer. On June 29, 2026, Pengqiang replied to the Opposition.

LEGAL STANDARD

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

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demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, *supra*, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

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demurrer can be utilized where the "face of the complaint" itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The "face of the complaint" includes material contained in attached exhibits that are

incorporated by reference into the complaint, or in a superseded complaint in the same action. (Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94; see also Barnett v. Fireman's Fund Ins. Co. (2001) 90 Cal.App.4th 500, 505 ["[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits"].)

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demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046-1047.)

PRELIMINARY ISSUES

Pengqiang's

Demurrer attributes the following language to *Richelle L. v. Roman Catholic Archbishop* (2003) 106 Cal.App.4th 257, 272: "a confidential relationship calling for fiduciary obligations exists only when one party reposes trust and confidence in another who, as a result, gains influence and superiority over the first". (Demurrer, 7:8-11.) No such language exists in that case.

Plaintiff's

Opposition similarly attributes the following language to *Brown v. FSR Brokerage, Inc.* (1998) 62 Cal.App.4th 766, 773-777: "There are other such legally recognized fiduciary relationships where important financial or property interests are involved". (Opp., 4:11-13, bold and underline in original.) No such language exists in that case.

The Court will discuss these issues further with the parties' respective counsel at the hearing on this Demurrer.

DISCUSSION

Meet and Confer

The Court finds Pengqiang's efforts to meet and confer before bringing this Demurrer sufficient. (Scott Wu Decl., ¶¶ 2-10; Code Civ. Proc., § 430.41, subd. (a).)

Fifth Cause of Action – Breach of Fiduciary Duty

To state a cause of action for breach of fiduciary duty, the plaintiff must allege facts demonstrating: “(1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach.” [Citation.]” (O’Neal v. Stanislaus Cnty. Employees’ Ret. Assn. (2017) 8 Cal.App.5th 1184, 1215.)

Pengqiang demurs to the Fifth Cause of Action for breach of fiduciary duty on the grounds that it fails to state facts sufficient to constitute a cause of action. Pengqiang contends the Complaint does not allege facts establishing a legally cognizable fiduciary relationship. Pengqiang contends an informal romantic relationship, even one involving substantial financial transfers, is not a fiduciary relationship, and contends the Complaint does not allege Plaintiff and Pengqiang entered into a recognized fiduciary relationship. Pengqiang also contends the Complaint’s allegations undermine the fiduciary duty claim because it alleges Pengqiang never intended to honor the arrangement.

In opposition, Plaintiff contends fiduciary duties may arise where a person voluntarily accepts another’s confidence and undertakes to act for that person’s benefit. Plaintiff contends to have alleged that Pengqiang received approximately \$700,000 to use for stock trading and investments and to hold on to a separate \$550,000 for Plaintiff’s benefit. Plaintiff also argues that Pengqiang cannot avoid fiduciary duties by arguing that he secretly intended to violate them at the moment he accepted the funds.

The Court finds the Complaint alleges sufficient facts to state a cause of action for breach of fiduciary duty. “[O]ne who receives the money of another to invest on that person’s behalf becomes a fiduciary.” (McMillin v. Eare (2022) 70 Cal.App.5th 893, 912.) “[B]efore a person can be charged with a fiduciary obligation, he must either knowingly undertake to act on behalf and for the benefit of another, or must enter into a relationship which imposes that undertaking as a matter of law.” (Committee on Children’s Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 221 [197 Cal. Rptr. 783, 673 P.2d 660].)” (Los Angeles Memorial Coliseum Com. v. Insomniac, Inc. (2015) 233 Cal.App.4th 803, 833.) The Complaint alleges Pengqiang received \$700,000 from Plaintiff for investment purposes. (Compl., ¶¶ 19-23.) The Complaint also alleges Pengqiang did not invest or return those funds to Plaintiff. (See Compl., ¶¶ 26-31.) Also, Plaintiff correctly argues

that Pengqiang cannot avoid a breach of fiduciary duty claim by secretly intending not to perform. To hold otherwise would permit any defendant to simply claim they did not intend to perform and thereby avoid liability.

Based on the foregoing, the Court OVERRULES the Demurrer to the Fifth Cause of Action.

Sixth Cause of Action – Accounting

To state a cause of action for an accounting, the plaintiff must allege facts demonstrating, “[a] cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations.]” (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.)

Pengqiang demurs to the Sixth Cause of Action for accounting on the grounds that it fails to state facts sufficient to constitute a cause of action. Pengqiang reiterates the argument that the Complaint does not allege a fiduciary relationship between Plaintiff and Pengqiang. Pengqiang then argues that the Complaint alleges known and ascertainable amounts of money at issue, i.e., \$1,250,000, and does not allege complex accounts, multiple intermingled transactions, or commingled funds requiring judicial intervention to trace.

In opposition, Plaintiff contends the accounting claim is adequately pleaded because Pengqiang controlled Plaintiff’s funds and the disposition of those funds cannot be determined without an accounting. Plaintiff contends the Complaint sufficiently alleges a fiduciary relationship as set forth above or otherwise sufficiently alleges facts establishing a relationship that requires an accounting. Plaintiff contends the Complaint alleges Pengqiang received Plaintiff’s funds, exercised exclusive control over them, concealed their status and location, commingled or transferred them, and acted in concert with other defendants to disguise assets derived from those funds. Plaintiff contends the Complaint further alleges that Defendants possess the bank statements, wire records, brokerage statements, trust records, corporate accounts, ledgers, and communications necessary to determine the receipt, movement, and ultimate disposition of Plaintiff’s money. Plaintiff further argues Plaintiff seeks to determine what Pengqiang did with the funds after receipt, which are facts not ascertainable from Plaintiff’s initial transfer records.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for accounting. “An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation. [Citation.]” (Tesselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.) Although the Court finds the Complaint alleges sufficient facts demonstrating the existence of a fiduciary relationship, the Complaint alleges specific sums of money at issue, i.e., approximately \$550,000 and \$700,000, for a total of \$1,250,000. (Compl., ¶¶ 16, 20, 22, Prayer for Relief, ¶ 1.) Given the specificity of the amounts alleged, it is unclear to the Court whether Plaintiff can amend the Complaint and allege facts without running afoul of the sham pleading doctrine. (See Owens v. Kings Supermarket (1988) 198 Cal.App.3d 379, 383-384.)

Additionally, to the extent Plaintiff seeks to determine what Pengqiang did with Plaintiff’s funds after receipt, Plaintiff also alleges other fraud claims and a claim for restitution with a request for disgorgement of all ill-gotten gains, among other things. (See generally, Compl.) These causes of action and corresponding remedy should enable Plaintiff to determine what Pengqiang allegedly did with Plaintiff’s funds after receipt.

Accordingly, the Court SUSTAINS the Demurrer to the Sixth Cause of Action. The Court will hear from Plaintiff whether facts can be alleged on amendment remedying the defects identified herein.

Eleventh Cause of Action – Constructive Fraud

To state a cause of action for constructive fraud, the plaintiff must allege facts demonstrating, “(1) fiduciary relationship; (2) nondisclosure (breach of fiduciary duty); (3) intent to deceive, and (4) reliance and resulting injury (causation).” (Younan v. Equifax Inc. (1980) 111 Cal.App.3d 498, 517, fn. 14.)

Pengqiang demurs to the Eleventh Cause of Action for constructive fraud on the grounds that it fails to state facts sufficient to constitute a cause of action. Pengqiang reiterates the argument that the Complaint does not allege facts establishing a fiduciary or confidential relationship between Plaintiff and Pengqiang. Pengqiang also argues that a constructive fraud claim requires the absence of actual fraudulent intent and the Complaint alleges Pengqiang acted with actual fraudulent intent.

In opposition, Plaintiff contends the constructive fraud claim is adequately based on the fiduciary or confidential relationship alleged, and that fraudulent intent is not an element of constructive fraud. Plaintiff reiterates that the Complaint adequately alleges a fiduciary or confidential relationship. Plaintiff further argues that Pengqiang cannot defeat constructive fraud by arguing that his alleged misconduct is more culpable than the minimum required.

The Court finds the Complaint alleges sufficient facts to state a cause of action for constructive fraud. As stated above, “one who receives the money of another to invest on that person’s behalf becomes a fiduciary.” (McMillin v. Eare, supra, 70 Cal.App.5th at p. 912.) The Complaint alleges Pengqiang received money from Plaintiff for investment purposes and that Pengqiang did not invest or return that money. (Compl., ¶¶ 19-31.) Pengqiang also misstates the requirements for a constructive fraud claim. The law clearly states that intent to deceive is required for such a claim. (Younan v. Equifax Inc., supra, 111 Cal.App.3d at p. 517, fn. 14; Tindell v. Murphy (2018) 22 Cal.App.5th 1239, 1249-1250 [elements of constructive fraud are: “(1) a fiduciary relationship, (2) nondisclosure, (3) intent to deceive, and (4) reliance and resulting injury.”].) What a constructive fraud claim does not require is fraudulent intent. (Tindell, supra, 22 Cal.App.5th at p. 1250.) The Complaint adequately alleges facts indicating that Pengqiang intended to deceive Plaintiff by becoming romantically involved with Plaintiff, persuading Plaintiff to transfer money to him for investment and safekeeping purposes, and then not returning the money to Plaintiff after Plaintiff demanded its return. (See Compl., ¶¶ 19-31.)

Based on the foregoing, the Court
OVERRULES the Demurrer to the Eleventh Cause of Action.

Fourteenth Cause of Action – Breach of Contract

To state a cause of action for breach of contract, the plaintiff must allege facts demonstrating “(1) the contract, (2) the plaintiff’s performance of the contract or excuse for nonperformance, (3) the defendant’s breach, and (4) the resulting damage to the plaintiff. [Citation.]” (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.) “A cause of action for breach of contract requires pleading of a contract, plaintiff’s performance or excuse for failure to perform, defendant’s

breach and damage to plaintiff resulting therefrom. [Citation.] A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect. [Citation.]” (McKell v. Washington Mut., Inc. (2006) 142 Cal.App.4th 1457, 1489.)

Pengqiang demurs to the Fourteenth

Cause of Action for breach of contract on the grounds that it fails to state facts sufficient to constitute a cause of action. Pengqiang contends the Complaint does not plead essential terms, such as the date the contract was formed, whether the contract was oral or written, the duration of the arrangement, the conditions under which the funds were to be returned, the type or scope of investment contemplated, any parameters governing the use of the funds, or any other material term. Pengqiang contends the alleged agreement here is too vague to determine what obligations Pengqiang undertook, when he was required to perform, or what constitutes adequate safekeeping or investment. Pengqiang also contends there was no meeting of the minds since the Complaint alleges Pengqiang's representations regarding safekeeping and investment were false when made.

In opposition, Pengqiang contends

the breach of contract claim is adequately pleaded because the Complaint alleges definite promises to safekeep and invest Plaintiff's funds for her benefit. Plaintiff contends the Complaint alleges she provided funds to Pengqiang who agreed to safeguard or invest those funds for her benefit. Plaintiff contends the Complaint alleges Plaintiff performed by transferring the money to Pengqiang who failed to safeguard or invest the funds, but instead diverted or concealed those funds and failed to return them, thereby damaging Plaintiff.

The Court finds the Complaint fails

to allege sufficient facts to state a cause of action for breach of contract.

The Court agrees with Pengqiang that the Complaint alleges insufficient details regarding the material terms of the alleged contract. “A material term is defined as a contractual provision dealing with a significant issue such as subject matter, price, payment, quantity, quality, duration, or the work to be done.” (Westlands Water Dist. v. All Persons Interested (2023) 95 Cal.App.5th 98, 127, internal quotation marks and citations omitted, italics in original.) The Complaint only alleges that Pengqiang would invest and/or safeguard Plaintiff's funds. It does not allege the price of this agreement, the date of the agreement, the manner of performance or payment, or the agreement's

duration. (Compl., ¶¶ 19-31, 160-167.)[2]

Based on the foregoing, the Court SUSTAINS the Demurrer to the Fourteenth Cause of Action with leave to amend.

CONCLUSION

The Court SUSTAINS Defendant Pengqiang Wang's Demurrer to the Fourteenth Cause of Action of the Complaint with 20 days' leave to amend. The Court SUSTAINS the Demurrer to the Sixth Cause of Action of the Complaint, and will hear from Plaintiff whether facts can be alleged to resolve the defects identified herein. The Court OVERRULES the Demurrer to the Fifth and Eleventh Causes of Action.

Defendant Pengqiang Wang is ordered to give notice of the Court's ruling within five calendar days of this order.

[1] The Court refers to Pengqiang by first name only to avoid confusion. No disrespect is intended.

[2] Pengqiang also correctly argues that the Complaint does not allege whether the contract is oral or written. (Compl., ¶¶ 19-31, 160-167.) However, that is a different ground for a demurrer which Pengqiang did not raise in the Demurrer itself. (See, Demurrer, pp. 1-2 of pdf; Code Civ. Proc., § 430.10, subd. (g).)